

Accounting for Corporations

Chapter 13

Chapter 13 Learning Objectives

CONCEPTUAL

- C1** Identify characteristics of corporations and their organization.
- C2** Explain characteristics of, and distribute dividends between, common and preferred stock.
- C3** Explain the items reported in retained earnings.

ANALYTICAL

- A1** Compute earnings per share and describe its use.
- A2** Compute price-earnings ratio and describe its use in analysis.
- A3** Compute dividend yield and explain its use in analysis.
- A4** Compute book value and explain its use in analysis.

PROCEDURAL

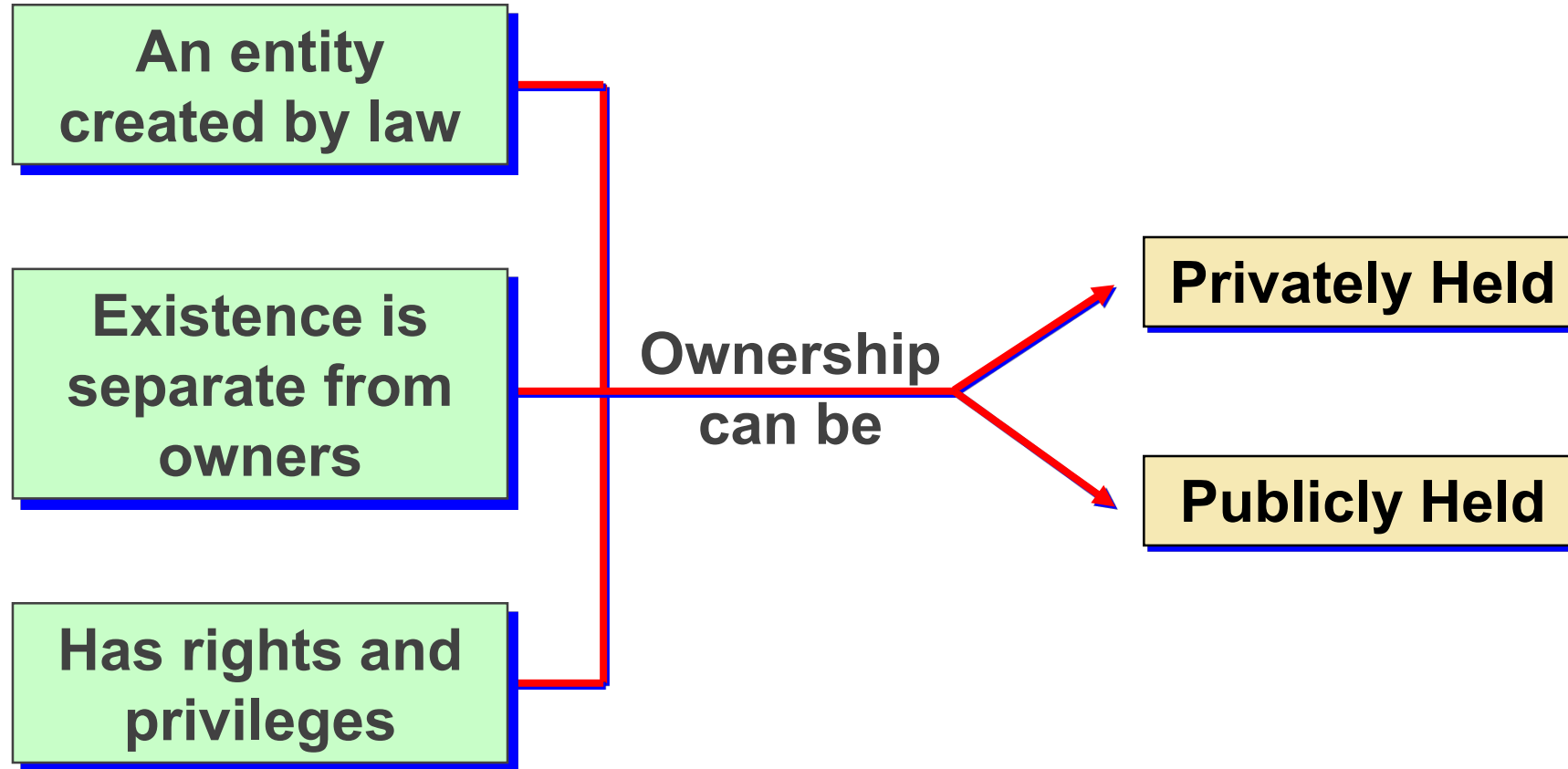
- P1** Record the issuance of corporate stock.
- P2** Record transactions involving cash dividends, stock dividends, and stock splits.
- P3** Record purchases and sales of treasury stock.

Learning Objective

C1:

Identify characteristics of corporations and their organization.

Corporate Form of Organization



Characteristics of Corporations

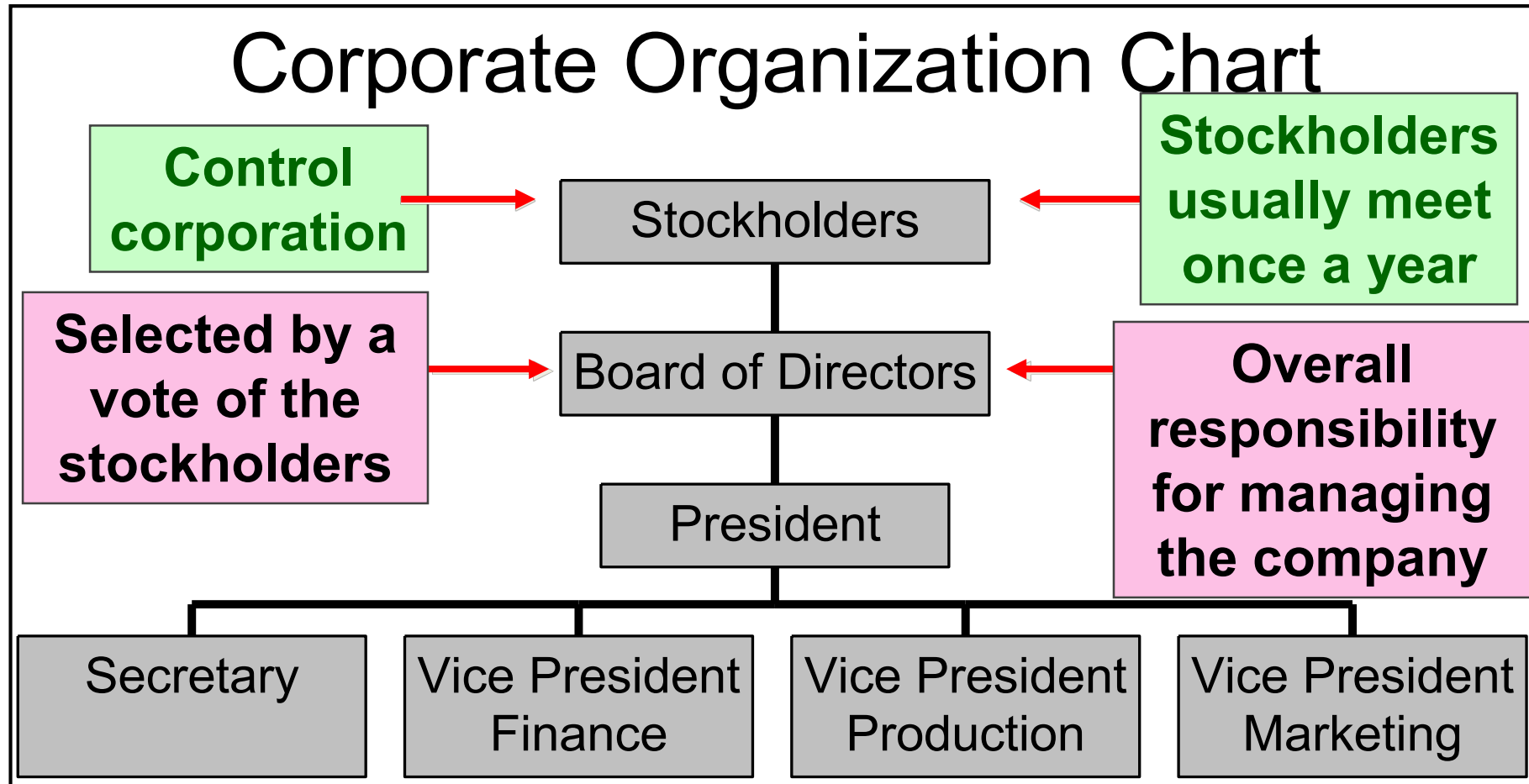
Advantages

- Separate legal entity
- Limited liability of stockholders
- Transferable ownership rights
- Continuous life
- Lack of mutual agency for stockholders
- Ease of capital accumulation

Disadvantages

- Governmental regulation
- Corporate taxation

Corporate Organization and Management



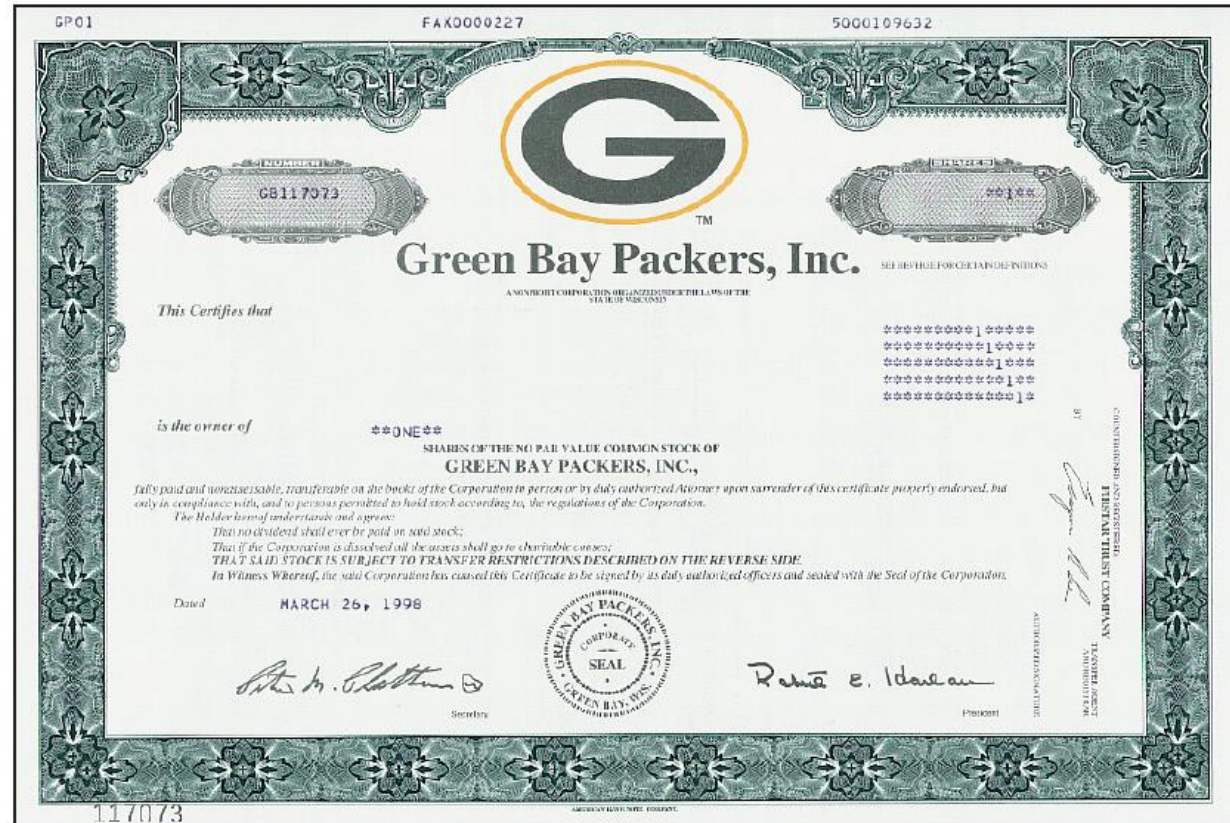
Rights of Stockholders

1. Vote at stockholders' meetings (or register proxy votes electronically)
2. Sell stock
3. Purchase additional shares of stock
4. Receive dividends, if any
5. Share equally in any assets remaining after creditors are paid in a liquidation

Stock Certificates and Transfer

Each unit of ownership is called a **share of stock**.

A stock certificate serves as proof that a stockholder has purchased shares.



When the stock is sold, the stockholder signs a **transfer endorsement** on the back of the stock certificate.

Basics of Capital Stock

Total amount of stock that a corporation's charter authorizes it to sell.

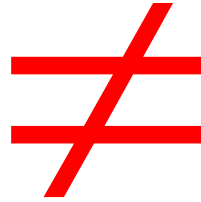
Stockholders Equity

Common Stock, par value \$0.01;
authorized 250,000,000 shares; **issued**
and outstanding 92,556,295 shares \$925,563

Total amount of stock that has been issued or sold to stockholders.

Basics of Capital Stock

Par value is an arbitrary amount assigned to each share of stock when it is authorized.



Market price is the amount that each share of stock will sell for in the market.

Classes of Stock

- Par Value
- No-Par Value
- Stated Value

Stockholders' Equity

Corporations' equity: shareholders' equity or corporate equity consists of:

- **paid-in (contributed) capital – cash and other assets received in exchange for stock**
- **retained earnings – cumulative net income (loss) not distributed as dividends.**

Learning Objective

P1:

Record the issuance of
corporate stock.

Issuing Par Value Stock at a Premium

Par Value Stock

On June 5, Dillon Snowboard's, Inc. issued 30,000 shares of \$10 par value stock for \$12 per share. Let's record this transaction.

June 5	Cash	360,000	
	Common Stock, \$10 par value		300,000
	Paid-in Capital in Excess of Par Value, Common		60,000
	<i>Issued 30,000 shares of common stock.</i>		

Issuing Par Value Stock

Stockholders' Equity with Common Stock

Stockholders' Equity

**Common Stock - \$10 par value; 50,000 shares
authorized; 30,000 shares issued and
outstanding**

\$ 300,000

Paid-In Capital in Excess of Par

60,000

Retained earnings

65,000

Total stockholders' equity

\$ 425,000

Issuing No-Par Value Stock

No-Par Value Stock

On June 5, Dillon Snowboard's, Inc. issued 1,000 shares of no-par value stock for \$40 per share. Let's record this transaction.

June 5	Cash	40,000	
	Common Stock, no-par value		40,000
	<i>Issued 1,000 shares of no-par value common stock at \$40 per share</i>		

Issuing Stated Value Stock

Stated Value Stock

On June 5, Dillon Snowboard's, Inc. issued 1,000 shares of \$40 stated value stock for \$50 per share. Let's record this transaction.

		Dr	Cr
June 5	Cash	50,000	
	Common Stock, \$40 stated value		40,000
	Paid-in Capital in Excess of Stated Value, Common		10,000
	<i>Issued 1,000 shares of \$40 stated value stock for \$50 per share</i>		

Issuing Stock for Noncash Assets

Par Value Stock

On June 10, 4,000 shares of \$20 par value stock for land valued at \$105,000. Let's record this transaction.

	Dr	Cr
June 10 Land	105,000	
Common Stock, \$20 par value		80,000
Paid-in Capital in Excess of Par Value, Common		25,000
<i>Exchanged 100,000 common shares for land.</i>		

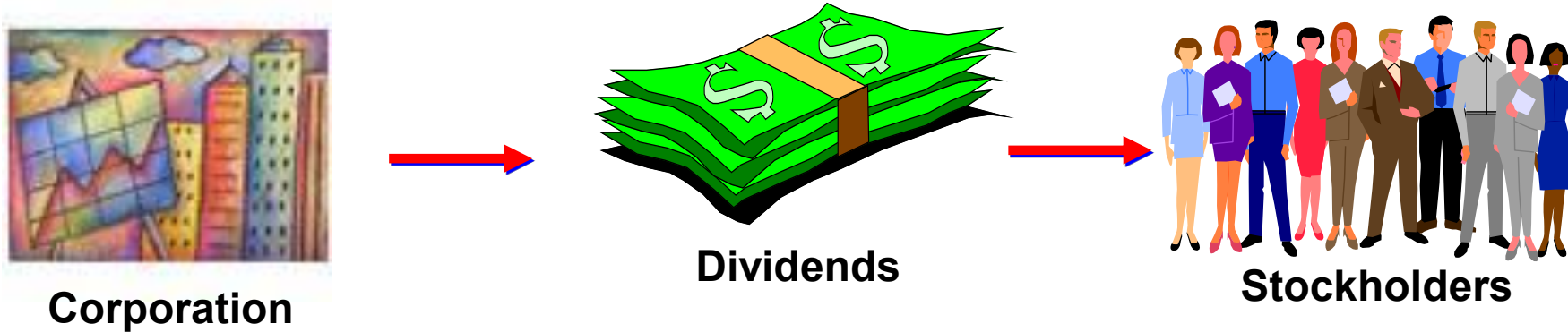
Learning Objective

P2:

Record transactions involving cash dividends, stock dividends, and stock splits.

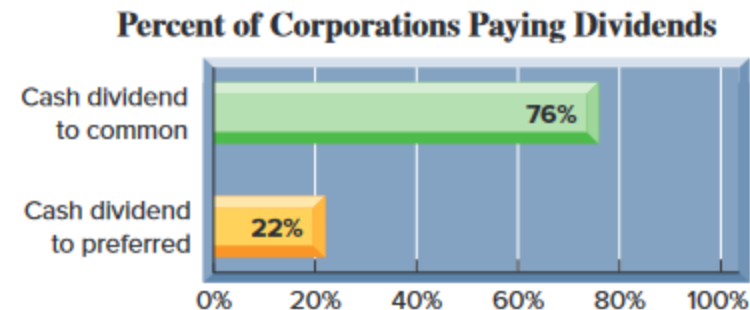
Cash Dividends

Regular cash dividends provide a return to investors and almost always affect the stock's market value.



To pay a cash dividend, the corporation must have:

1. A sufficient balance in retained earnings; and
2. The cash necessary to pay the dividend.



Accounting for Cash Dividends

Three Important Dates

Date of Declaration

**Record liability
for dividend.**

Date of Record

**No entry
required.**

Date of Payment

**Record payment of
cash to stockholders.**

Accounting for Cash Dividends

On January 9, a \$1 per share cash dividend is declared on Z-Tech, Inc.'s 5,000 common shares outstanding. The dividend will be paid on February 1 to stockholders of record on January 22.

Date of Declaration

**Record liability
for dividend.**

	Dr	Cr
Jan. 9 Retained Earnings	5,000	
Common Dividend Payable		5,000
<i>Declared \$1 per share cash dividend.</i>		

Accounting for Cash Dividends

On January 9, a \$1 per share cash dividend is declared on Z-Tech, Inc.'s 5,000 common shares outstanding. The dividend will be paid on February 1 to stockholders of record on January 22.

No entry required on January 22, the date of record.

Date of Payment

Record payment of cash to stockholders.

		Dr	Cr
Feb. 1	Common Dividends Payable	5,000	
	Cash		5,000
	<i>Paid \$1 per share cash dividend.</i>		

Deficits and Cash Dividends

A deficit is created when a company incurs cumulative losses or pays dividends greater than total profits earned in other years.

Stockholders' Equity

Common stock \$10 par value,

5,000 shares authorized and outstanding \$ 50,000

Retained earnings deficit (6,000)

Total stockholders' equity \$ 44,000

Stock Dividends

A distribution of a corporation's own shares to its stockholders without receiving any payment in return.

Why a stock dividend?

- Can be used to keep the market price on the stock affordable.
- Can provide evidence of management's confidence that the company is doing well.

Small Stock Dividend

Distribution is $\leq 25\%$ of the previously outstanding shares.

Large Stock Dividend

Distribution is $> 25\%$ of the previously outstanding shares.

Recording a Small Stock Dividend

Quest has 10,000 shares of \$10 par value stock outstanding. On December 31, Quest declared a 10% stock dividend, when the stock was selling for \$15 per share. The stock will be distributed to stockholders on January 20. Let's prepare the December 31 entry.

Capitalize retained earnings for the market value of the shares to be distributed. (10,000 × 10% = 1,000 × \$15 = \$15,000)

1,000 × \$10 par

Dec. 31	Retained Earnings	15,000	
	Common Stock Dividend Distributable		10,000
	Paid-In Capital in Excess of Par Value		5,000
	<i>Declared a 1,000 share (10%) stock dividend.</i>		

Recording a Small Stock Dividend

Exhibit 13.7

Before the
stock
dividend.



Stockholders' Equity	Before Dividend
Common stock—\$10 par value, 15,000 shares authorized, 10,000 shares issued and outstanding	\$100,000
Paid-in capital in excess of par value, common stock	8,000
Retained earnings	35,000
Total stockholders' equity	<u>\$143,000</u>

Dec. 31	Retained Earnings	15,000	
	Common Stock Dividend Distributable		10,000
	Paid-In Capital in Excess of Par Value, Common Stock		5,000
	<i>Declared a 1,000-share (10%) stock dividend.</i>		

Stockholders' Equity	Before Dividend	Declaration	Issuance	After Dividend
Common stock—\$10 par value, 15,000 shares authorized, 10,000 shares issued and outstanding	\$100,000	\$ —	\$ 10,000	\$110,000
Common stock dividend distributable—1,000 shares	—	10,000	(10,000)	0
Paid-in capital in excess of par value, common stock	8,000	5,000	—	13,000
Retained earnings	35,000	(15,000)	—	20,000
Total stockholders' equity	<u>\$143,000</u>	<u>\$ 0</u>	<u>\$ 0</u>	<u>\$143,000</u>

Exhibit 13.8

After the
stock
dividend.



Recording a Small Stock Dividend

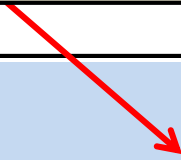
Quest has 10,000 shares of \$10 par value stock outstanding. On December 31, Quest declared a 10% stock dividend, when the stock was selling for \$15 per share. The stock will be distributed to stockholders on January 20. Let's prepare the January 20 entry.

Jan. 20	Common Stock Dividend Distributable	10,000	
	Common Stock, \$10 Par Value		10,000
	<i>Record issuance of common stock dividend.</i>		

Recording a Large Stock Dividend

Quest, Inc. has 10,000 shares of \$10 par value stock outstanding. On December 31, Quest declared a 30% stock dividend. The stock will be distributed to stockholders on January 20. Let's prepare the December 31 entry.

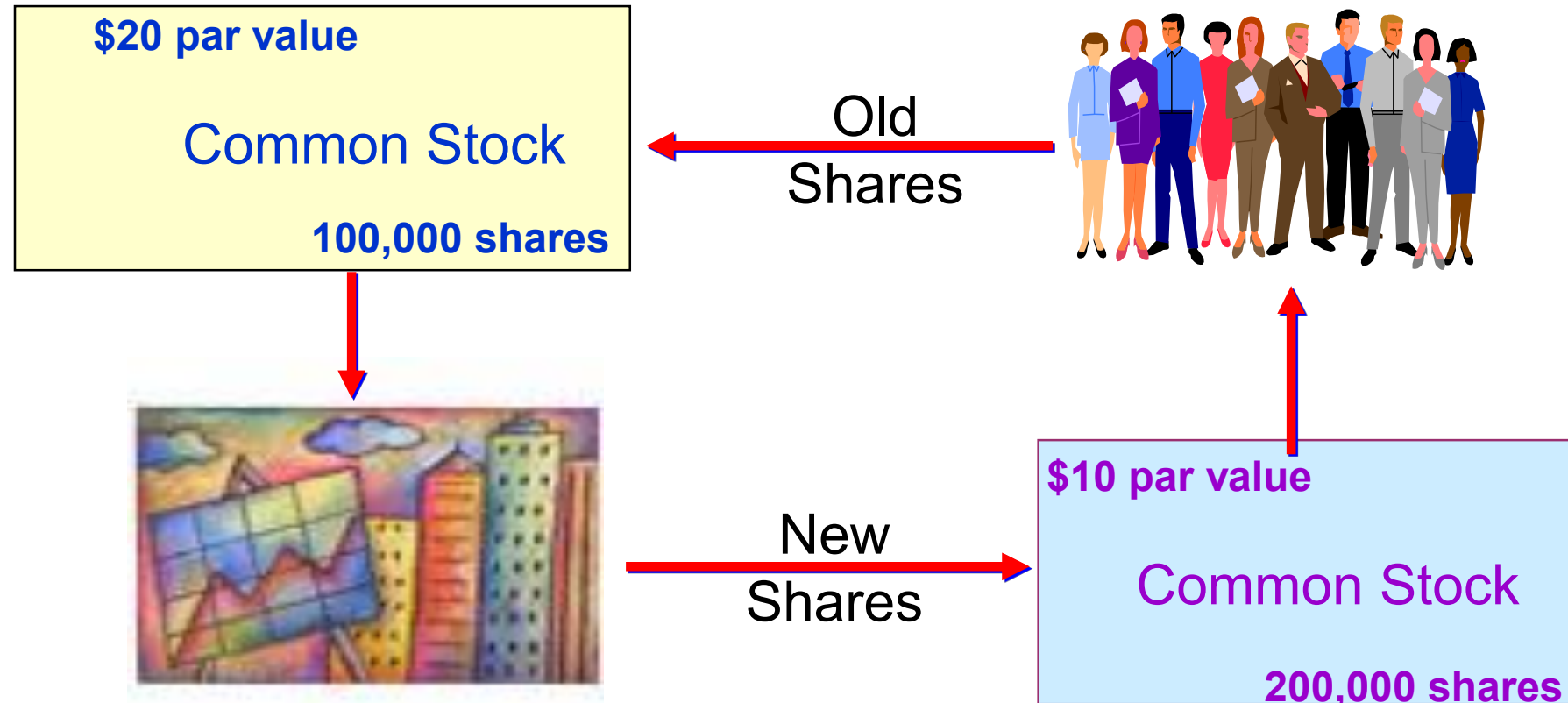
Capitalize retained earnings for the minimum amount required by state law, usually par or stated value of the shares.
(10,000 × 30% = 3,000 shares × \$10 par value = \$30,000)



	Dr	Cr
Dec. 31 Retained Earnings	30,000	
Common Stock Dividend Distributable		30,000
<i>Declared a 10,000 share (30%) stock dividend.</i>		

Stock Splits

A distribution of additional shares of stock to stockholders according to their percent ownership.



Learning Objective

C2:

Explain characteristics of, and
distribute dividends between,
common and preferred stock.

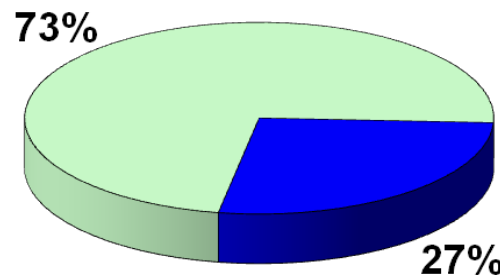
Preferred Stock

A separate class of stock, typically having priority over common shares in . . .

- Dividend distributions
- Distribution of assets in case of liquidation

Usually has a stated dividend rate

Normally has no voting rights



- Corporations with no Preferred Stock
- Corporations with Preferred Stock

**Exhibit
13.9**

Issuance of Preferred Stock

Cumulative	vs.	Noncumulative
Dividends in arrears must be paid before dividends may be paid on common stock. (Normal case).		Undeclared dividends from current and prior years do not have to be paid in future years.

Consider the following Stockholders' Equity section of the Balance Sheet. The Board of Directors declares \$5,000 of dividends in 2016. In 2017, the Board declared and paid cash dividends of \$42,000.

Common stock, \$10 par value; 50,000 shares authorized; 30,000 shares issued and outstanding	\$ 300,000
Preferred stock, 9%, \$100 par value; 1,000 shares authorized, issued and outstanding	5,000
Paid-in capital in excess of par value, preferred stock	1,000
Retained earnings	65,000
Total Paid-In capital	\$ 371,000

Dividend Preference of Preferred Stock

Exhibit
13.11

	Preferred	Common
Preferred Stock Is Cumulative		
Year 2016.....	<u>\$ 5,000</u>	<u>\$ 0</u>
Year 2017		
Step 1: Dividend in arrears.....	\$ 4,000	
Step 2: Current year's preferred dividend.....	9,000	
Step 3: Remainder to common.....		<u>\$29,000</u>
Totals for year 2017	<u>\$13,000</u>	<u>\$29,000</u>
Totals for 2016–2017.....	<u>\$18,000</u>	<u>\$29,000</u>
Preferred Stock Is Noncumulative		
Year 2016.....	<u>\$ 5,000</u>	<u>\$ 0</u>
Year 2017		
Step 1: Current year's preferred dividend.....	<u>\$ 9,000</u>	
Step 2: Remainder to common.....		<u>\$33,000</u>
Totals for 2016–2017.....	<u>\$14,000</u>	<u>\$33,000</u>

Participating or Nonparticipating Dividend

Participating	vs.	Nonparticipating
Dividends may exceed a stated amount once common stockholders receive a dividend equal to the preferred stated rate.		Dividends are limited to a maximum amount each year. The maximum is usually the stated dividend rate. (Normal case)

Reasons for Issuing Preferred Stock

- To raise capital without sacrificing control
- To boost the return earned by common stockholders through **financial leverage**
- To appeal to investors who may believe the common stock is too risky or that the expected return on common stock is too low

Learning Objective

P3:

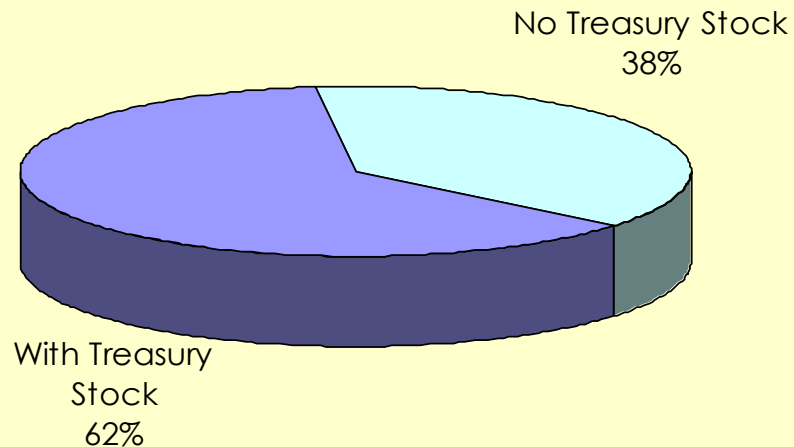
Record purchases and sales of treasury stock and the retirement of stock.

Treasury Stock

Treasury stock represents shares of a company's own stock that has been acquired. A corporation might acquire its own stock to:

1. Use its shares to buy other companies.
2. Avoid a hostile takeover.
3. Reissue to employees as compensation.
4. Support the market price.

Corporations and Treasury Stock



Purchasing Treasury Stock

On May 1, Cyber, Inc. purchased 1,000 of its own shares of stock in the open market for \$11.50 per share.

May 1	Treasury Stock, Common	11,500	
	Cash		11,500
	<i>Purchased 1,000 treasury shares at \$11.50 per share</i>		

Treasury stock is shown as a reduction in total stockholders' equity on the balance sheet.

Selling Treasury Stock at Cost

On May 21, Cyber sold 100 shares of its treasury stock for \$11.50 per share.

May 21	Cash	1,150	
	Treasury Stock, Common		1,150
	<i>Sold 100 shares of treasury for \$11.50 per share.</i>		

Selling Treasury Stock Above Cost

On June 3, Cyber, Inc. sold an additional 400 shares of its treasury stock for \$12 per share.

June 3	Cash	4,800	
	Treasury Stock, Common		4,600
	Paid-In Capital, Treasury Stock		200
	<i>Sold 400 treasury shares for \$12 per share.</i>		

	Shares	Per Share	Total
Sale	400	\$ 12.00	\$ 4,800
Cost	400	11.50	4,600
Paid-In Capital			<u>\$ 200</u>

Selling Treasury Stock Below Cost

On July 10, Cyber sold an additional 500 shares of its treasury stock for \$10 per share.

July 10	Cash	5,000	
	Paid-in Capital, Treasury Stock	200	
	Retained Earnings	550	
	Treasury Stock, Common		5,750
	<i>Sold 500 treasury shares for \$10 per share.</i>		

	Shares	Per Share	Total
Cost	500	\$ 11.50	\$ 5,750
Sale	500	10.00	5,000
Difference			<u>\$ 750</u>

Learning Objective

C3:

Explain the items reported in retained earnings.

Statement of Retained Earnings

Retained earnings is the total cumulative amount of reported net income less any net losses and dividends declared since the company started operating.

Restricted Retained Earnings

Legal Restriction

Most states restrict the amount of treasury stock purchases to the amount of retained earnings.

Contractual Restriction

Loan agreements can include restrictions on paying dividends below a certain amount of retained earnings.

Prior Period Adjustments

Exhibit
13.15

Prior period adjustments are corrections of material errors in past years' financial statements that result in a change in the beginning balance of retained earnings.

ComUS Statement of Retained Earnings For Year Ended December 31, 2017	
Retained earnings, Dec. 31, 2016, as previously reported	\$4,745,000
Prior period adjustment	
Cost of land incorrectly expensed (net of \$63,000 of income tax benefit)	<u>147,000</u>
Retained earnings, Dec. 31, 2016, as adjusted	4,892,000
Plus net income	1,224,300
Less cash dividends declared	<u>(301,800)</u>
Retained earnings, Dec. 31, 2017	<u><u>\$5,814,500</u></u>

Statement of Stockholders' Equity

Exhibit
13.16

APPLE Statement of Stockholders' Equity					
\$ millions, shares in thousands	Common Stock Shares	Common Stock Amount	Retained Earnings	Accumulated Other	Total Equity
Balance, Sept. 27, 2014	5,866,161	\$23,313	\$87,152	\$1,082	\$111,547
Net income	—	—	53,394	—	53,394
Issuance of common stock	37,624	(231)	(609)	—	(840)
Repurchase of common stock & other	(325,032)	4,334	(36,026)	(1,427)	(33,119)
Cash dividends	—	—	(11,627)	—	(11,627)
Balance, Sept. 26, 2015	<u>5,578,753</u>	<u>\$27,416</u>	<u>\$92,284</u>	<u>\$ (345)</u>	<u>\$119,355</u>

This is a more inclusive statement than the statement of retained earnings.

End of Chapter 13

Learning Objective

A1:

Compute earnings per share
and describe its use.

Earnings Per Share

Earnings per share is one of the most widely cited accounting statistics.

$$\text{Basic earnings per share} = \frac{\text{Net income} - \text{Preferred dividends}}{\text{Weighted-average common shares outstanding}}$$

Learning Objective

A2:

Compute price-earnings ratio
and describe its use in analysis.

Price-Earnings Ratio

This ratio reveals information about the stock market's expectations for a company's future growth in earnings, dividends, and opportunities.

$$\text{Price-earnings ratio} = \frac{\text{Market value (price) per share}}{\text{Earnings per share}}$$

Learning Objective

A3:

Compute dividend yield and
explain its use in analysis.

Dividend Yield

Tells us the annual amount of cash dividends distributed to common stockholders relative to the stock's market price.

$$\text{Dividend yield} = \frac{\text{Annual cash dividends per share}}{\text{Market value per share}}$$

Learning Objective

A4:

Compute book value and
explain its use in analysis.

Book Value per Common Share

Reflects the amount of stockholders' equity applicable to **common** shares on a per share basis.

$$\text{Book value per } \mathbf{common} \text{ share} = \frac{\text{Stockholders' equity applicable to } \mathbf{common} \text{ shares}}{\text{Number of } \mathbf{common} \text{ shares outstanding}}$$